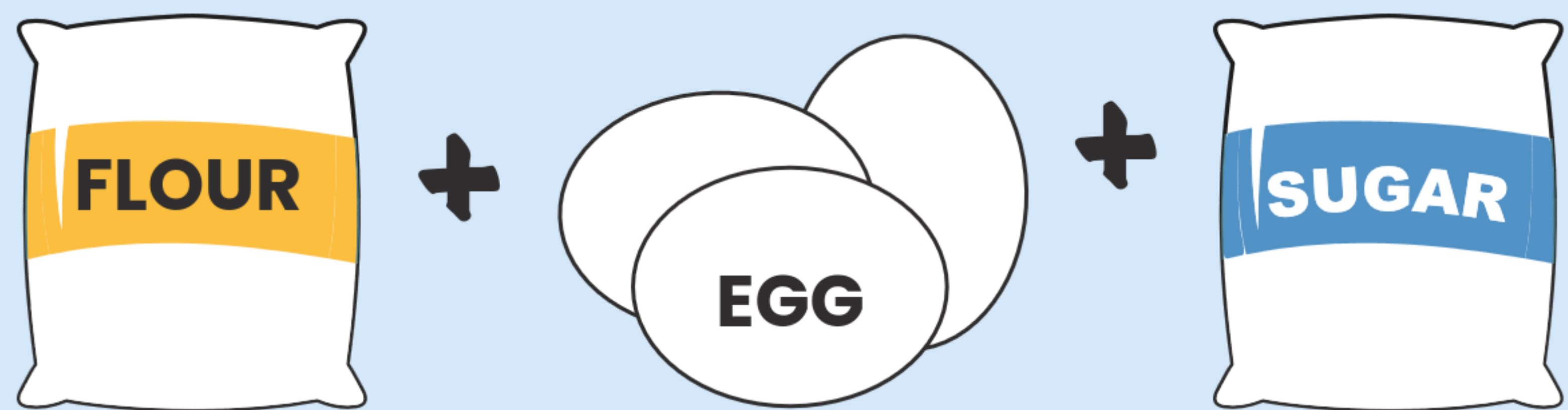


Here are some strategies to come up with a price -

A. Based Value

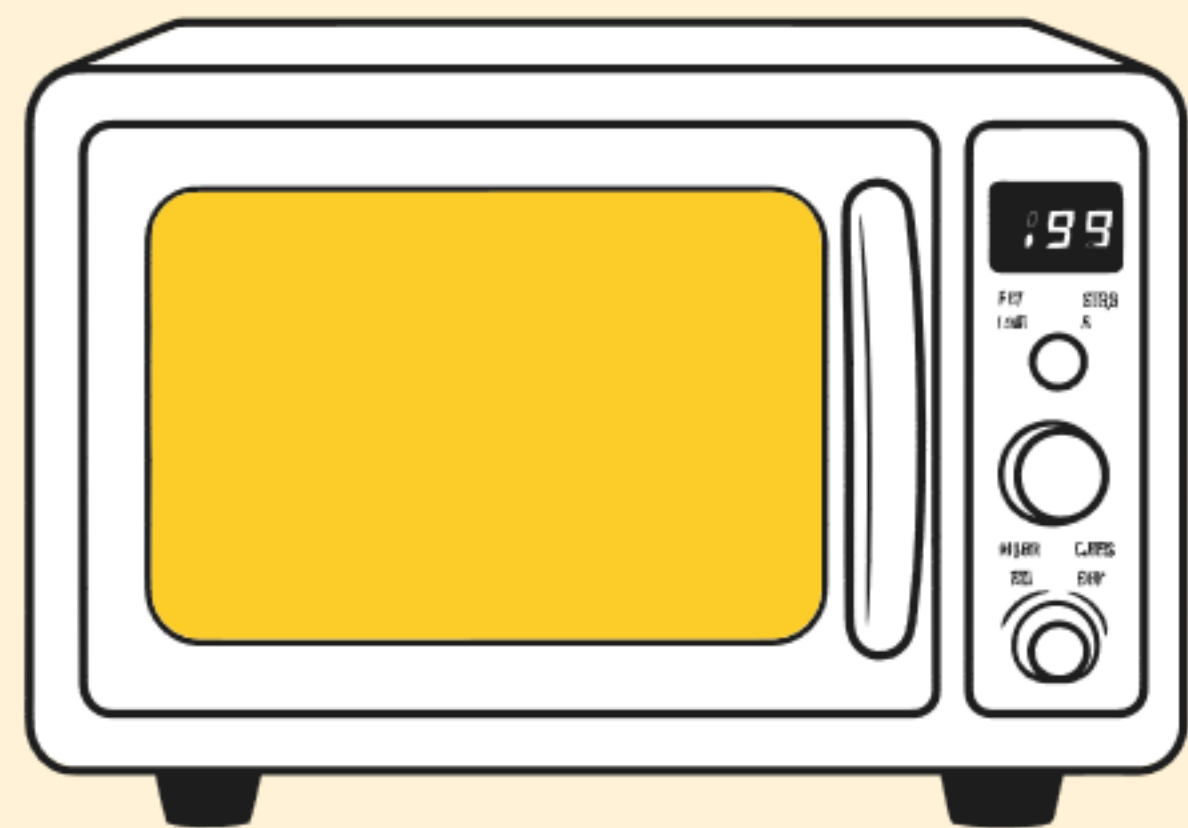
Cost of ingredients



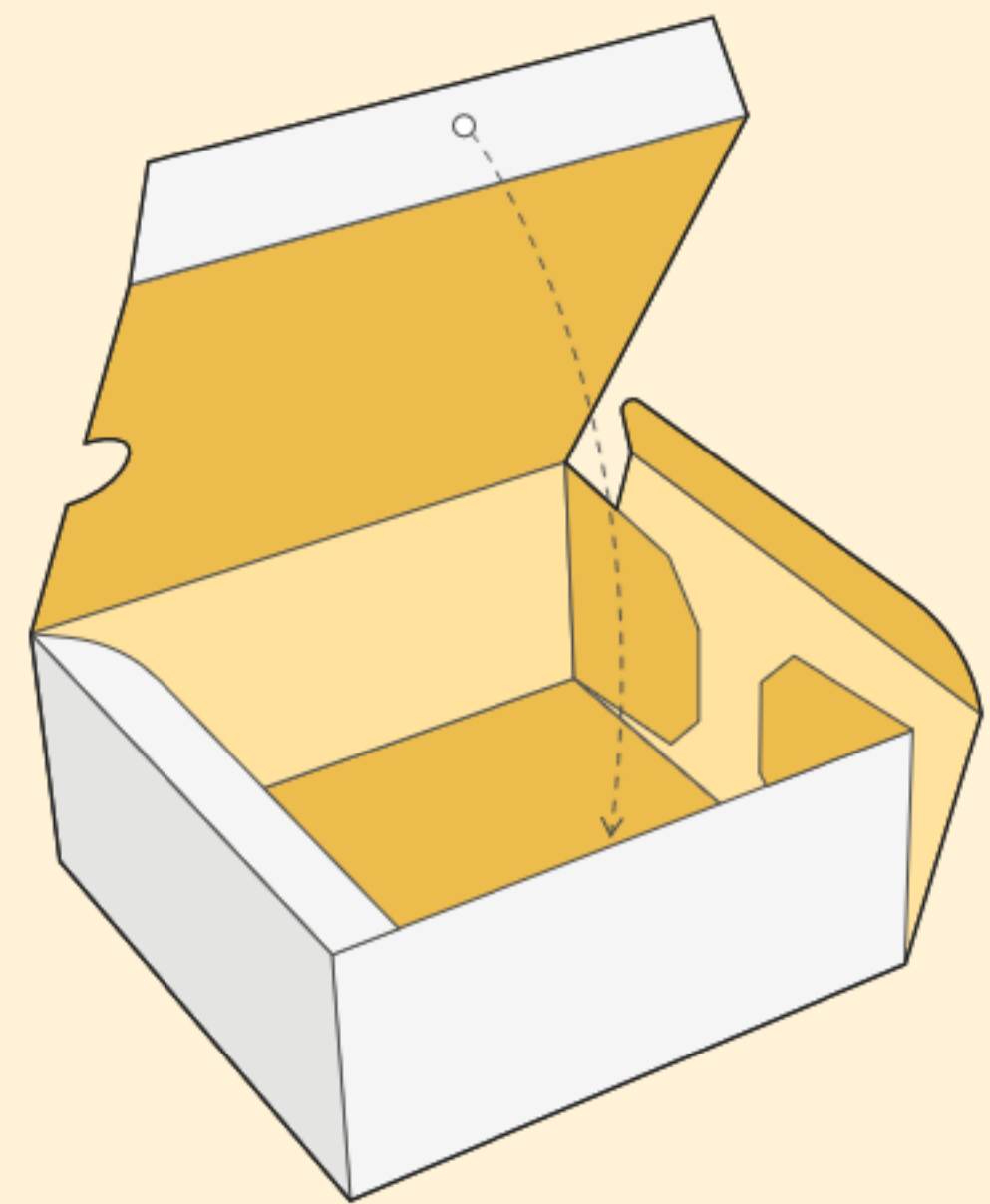
Imagine setting a price, like baking a cake. You start with the cost of the ingredients- the flour, eggs, and sugar.

Then, you add your profit margin. But baking the cake is not only about the costs; you also have to pay for the oven, the kitchen, and other stuff- that's your overhead costs.

Overhead Cost



Variable Cost



Finally, you might need to buy more ingredients or cake boxes if you sell more cakes- that's your variable transaction.

Profit Margin



So, when you set the price for your cake, you need to make sure it covers all these costs, plus a little extra for yourself, so your business can stay successful.

Price of Cake

